

Chris Giles on Central Banks **Central banks**

New thinking frameworks at the Federal Reserve

Fed governor Stephen Miran, new research and updated models are challenging US monetary stances



New Federal Reserve governor Stephen Miran explains why interest rates should be lower © Bloomberg

Chris Giles

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New Federal Reserve governor Stephen Miran laid out [radical new thinking](#) on US monetary policy last week, justifying rapid and deep interest rate cuts. To the relief of almost everyone, the recent Donald Trump appointee, who is on leave from chairing the White House's Council of Economic Advisers, did not simply say he wanted lower interest rates because the US president told him so. He made an economic argument.

His view is a rejection of Jay Powell's empirical approach to policymaking. The Fed chair always makes clear that interest rates are set "based on the incoming data, the evolving outlook and the balance of risks". Miran prefers a more theoretical conviction-based approach. The transparency is admirable, but his strategy appears to be mostly just picking the juiciest cherries to put in his policy bowl, adding dustings of voodoo economics and arbitrary assumption, and coming up with a super-sweet new monetary policy framework.

He uses three broad arguments: inflation will fall, and that the neutral rate (R^*) is lower and the output gap is higher than the central bank thinks. This is standard Taylor-rule thinking, and is summarised in the chart below.

From the current roughly 4 per cent US interest rate, he says persistently lower migration will lower rental inflation, reducing overall price pressures and allowing for lower interest rates. The big green category depicts what he suggests is a lower neutral rate, owing to the Trump administration's migration policy and fiscal programme (tariffs and the One Big Beautiful Bill Act). Looser regulation raises the output gap by boosting potential output.

All the numbers are taken directly from Miran's speech, using midpoints where ranges were given. Empirical estimates are taken from economic literature.

Miran's monetary magic

How the Fed governor gets from the current Fed funds rate to his optimal rate (% points)

Inflation

R^*

Output gap

Current rate _____

Taylor rule _____

Rents _____

Deregulation + energy _____

Migration _____

The chart shows the benefits of this sort of conviction economics. Within a standard monetary policy framework, it is immediately transparent what Miran thinks. And that is better than decoding a ream of speeches and articles.

The estimate is also almost certainly in the right ballpark. Lower migration should decrease the neutral rate of interest, because there will be less demand for funds to invest in new property, for example. Of course, lower investment also reduces the economy's sustainable growth rate.

There are, however, four big problems.

First, each element is separately guessed and assumes few spillovers to other areas. For example, Miran argues that fewer migrants will lower rental inflation. But while counting that as disinflationary, he ignores the inflationary pressures coming from lower labour supply. His estimate misses half of the story.

Second, the fiscal assumptions are flawed. Accepting tariffs are a tax increase, Miran says they will lower the US budget deficit as a share of GDP. This, he adds, will reduce the neutral rate, because the US will seek to borrow less. It is standard stuff, though the estimates are large. Then, he says Trump's tax-cutting budget lowers the deficit because it stimulates so much growth. This is voodoo economics of the exact sort that so annoyed George H W Bush in 1980. The Reaganite experience of twin deficits proved Bush right.

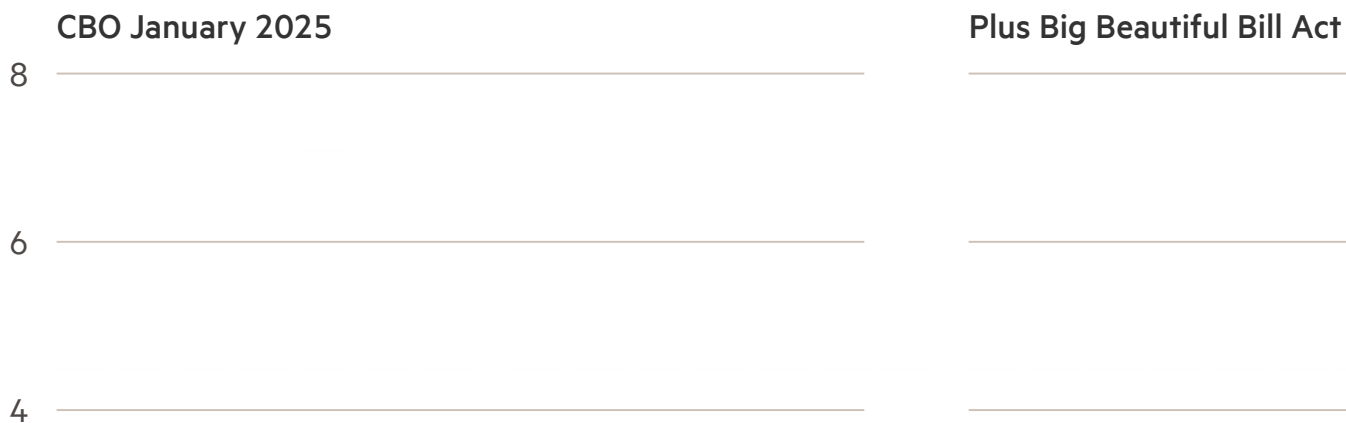
It's quite something to assume both lower and higher taxes raise revenues. If only the world was like that. Fiscal policy would be so easy.

If you add the Congressional Budget Office estimates of tariffs and the budget bill together, [as I did here and roughly in the chart below](#), the overall effect on the deficit is around zero. Whatever you think about the assumed sensitivity of R^* to budget deficits, it is not going to budge much.

With tariffs and the Big Beautiful Bill Act, the US fiscal position suggests stable but high deficits

US federal government deficit forecast (% of GDP)

☐ CBO January 2025 ☐ Plus Big Beautiful Bill Act ☐ Plus tariffs



Third, Miran is cherry-picking when it comes to deregulation. Some financial and energy deregulation might raise potential output and allow for lower interest rates, but the distortions to the US economy from tariffs, immigration and policy uncertainty go in the reverse direction.

Finally, the conviction element of this economics assumes we know roughly what the neutral rate is. In truth, R^* is extremely difficult to pinpoint. When [talking to the FT last week](#), Chicago Fed president Austan Goolsbee said it was important to think how R^* might have changed. But he calls the measure “R-Sasquatch” after the mythical Big Foot, because “you can never see it”.

This is where Miran’s arbitrary assumption comes in. Markets have raised long-term interest rate estimates a lot this year, but Miran disagrees with them. How much? Well, he says his low R^* number is two-thirds correct, and financial markets are only one-third correct. I don’t understand it either. But remember this: markets are wise mysterious beasts until they suggest something different from Miran’s priors.

That pretty warm labour market

Speaking of the Chicago Fed president, Goolsbee has a rather nice new model to hawk around. It is a rebadged version of the reserve bank’s [previous CHURN model](#) of the labour market. It uses available public and private sources to predict the next move in US unemployment.

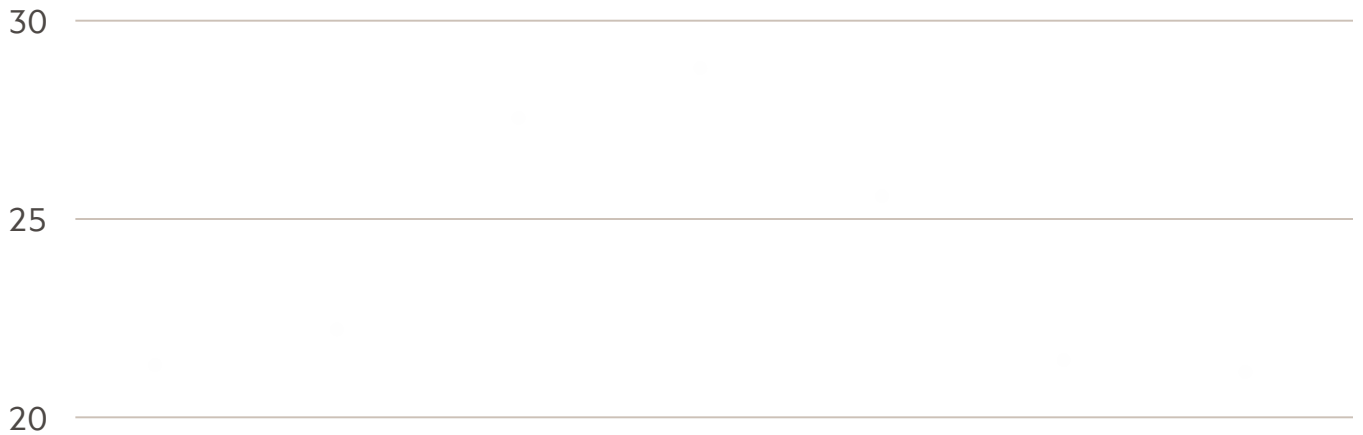
Essentially, the Chicago Fed’s [labour market indicator](#) weights movements in 11 measures — such as separations, hires, Google searches and initial claims — by their success in predicting upcoming unemployment rate changes. It is similar in that respect to “[FT core](#)”, the underlying inflation indices we produce at [Monetary Policy Radar](#). The key benefit of both is the statistics do the weighting, which prevents human biases dominating.

The initial prediction of the Chicago data is below, suggesting the US unemployment rate most likely stays steady at 4.3 per cent in September. The probabilities are slightly skewed towards an increase, but that is just because the starting point is a 4.32 per cent August unemployment rate. The model’s impulse is slightly to the downside.

Real-time data suggests a steady US unemployment rate in September

Probability of unemployment rate outcomes for September (%)

☐ Chicago Fed forecast ☐ Historical probability



Tariffs are not that inflationary

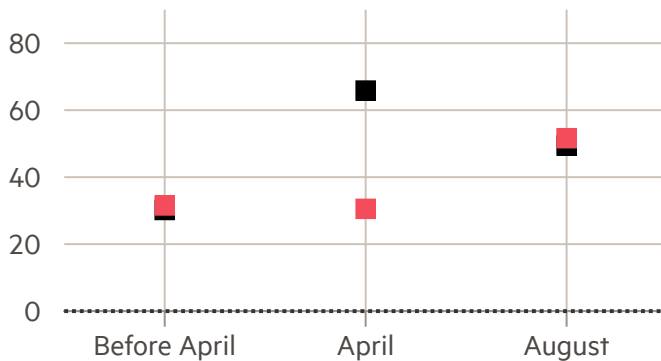
Not to be outdone, the Boston Fed published [interesting research](#) on Monday from surveys of businesses and households on the inflationary effect of tariffs. Small US businesses have become more sure tariffs are here to stay, expecting to pass through roughly 50 per cent of the increased costs to consumers, double the pre-April rate. Pass-through rates rise for companies that expect the tariffs to last longer. Households are a little more sceptical, anticipating a bigger proportion of the tariff costs to be passed on to them.

Businesses now think that tariff pass-through to prices will be around 50 per cent. Consumers are more pessimistic

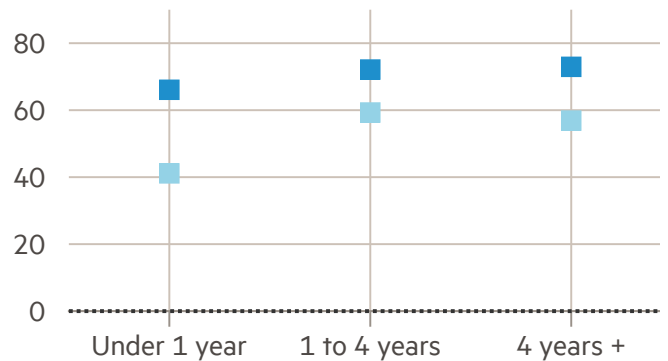
Pass-through of corporate tariff costs to consumer prices (%)

Type Importing businesses Non-importing businesses Businesses Consumers

Date of business survey



Expected duration of tariffs



FINANCIAL TIMES

Source: Boston Fed • Lines show 90 per cent confidence interval

Put this research and these numbers into perspective. The Boston Fed's back-of-the-envelope calculations suggest this pass-through level would raise prices 0.75 per cent. That is significant without being enormous. This would confirm US tariffs [are not that inflationary](#) because goods imports are only about 11 per cent of GDP.

Of course, they still could spark wider inflationary pressure. But surveys such as this suggest the tariff [fears I had in April](#) do not seem to be materialising.

What I've been reading and watching

Economists [overwhelmingly want](#) Christopher Waller to succeed Powell as chair of the Fed next year, according to the latest poll from the Clark Center for Global Markets at the University of Chicago's Booth School of Business.

Populist political party Reform UK met Bank of England governor Andrew Bailey, then did some [performative grandstanding](#).

One small trading nation, New Zealand, [has imported its new central bank governor](#) from another, Sweden. Congratulations to Anna Breman.

US and European central bankers [talked at cross purposes](#) about stablecoins at a conference on Monday. I think Waller overestimates stablecoin advantages and underestimates crime, while Bundesbank president Joachim Nagel exaggerates the risk of the European Central Bank losing control of monetary policy.

A chart that matters

OK, OK. I am now going to criticise financial market pricing, which is a bit rich of me after my critique of Miran. Before you point and laugh at my hypocrisy, I acknowledge the tension.

It is odd, though, that market short-term interest rate predictions in the US suggest rates will fall rapidly to around 3 per cent, while in the UK they fall only to around 3.6 per cent.

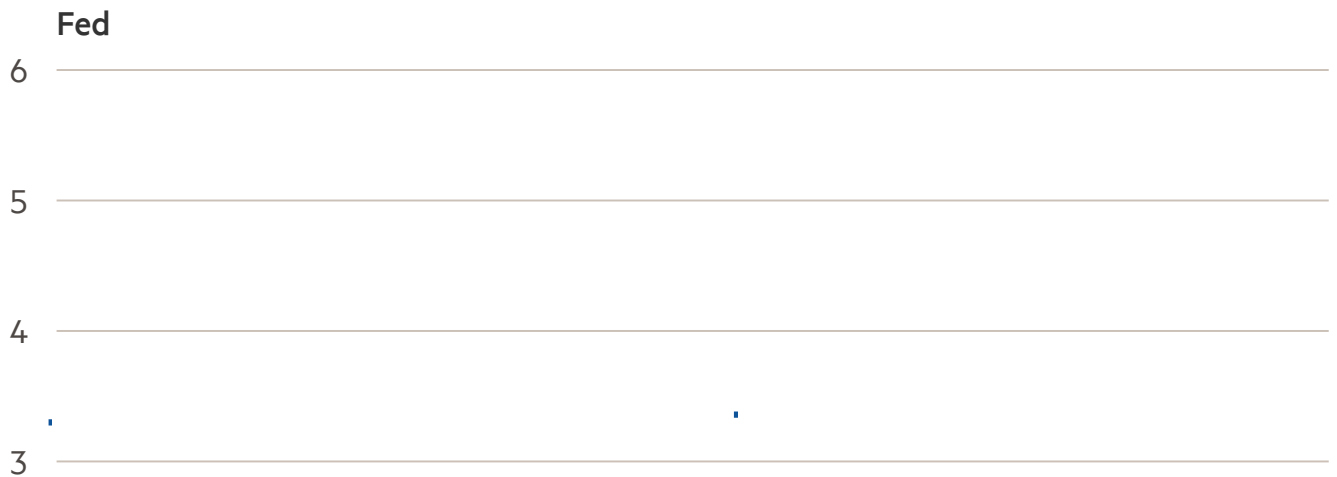
Everyone knows the UK has a bit of an inflation problem at the moment. But is it that much worse than in the US? Will it persist for the rest of the decade? And do we really think the UK's nominal R^* is significantly higher than the US's?

My answer to both questions is “no”, but I'd love to know what you think. Email me: chris.giles@ft.com.

Markets think UK interest rates will remain persistently higher than those in the US

Policy rates of leading central banks and the evolution of market expectations at **start of year** and **late September 2025**

Policy rate and futures curves at dates shown (%)



Central Banks is edited by Harvey Nriapia

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